

associated with managing index funds are significantly lower. We like lower fees.

Both index funds and mutual funds have a high cost to entry, with mutual funds being the higher of the two. It's not uncommon to see a mutual fund that still asks for a \$10 000 minimum entry into the fund, though you're more likely to see them asking around \$1000 to \$5000 to begin with.

And because you're investing in a basket of shares, rather than owning the shares directly, you don't have voting rights. (Look, it was unlikely that your one vote was going to push Larry Page off the Alphabet executive board anyways.)

While index funds are technically a kind of mutual fund, in the general sense, when they are spoken about in the world of investing, most people refer to 'mutual funds' when they speak about actively managed funds and they refer to index funds as passive funds. Investors either love actively managed funds or passive index funds. They believe either that actively chosen funds are going to provide them better outcomes in the long term or that passive funds do better long term. While the evidence shows that the vast majority of actively managed funds do not outperform the index, some do. There's a wide range of reasons why someone may prefer to invest with an actively managed fund, but the most common come down to assuming that the higher cost must equate to better returns, the 'human' element of a fund manager, and the ability to quickly react to the market when things change.

A downside of index funds and mutual funds in general is that their price is valued at the end of the day, and buying/selling of these funds occur after the stock market closes for the day. This means if you wanted to invest at 9 am, you wouldn't be able to. And since index funds often have a minimum investment, you'd need to save up until you could deposit this money (e.g. if you have \$100 but the fund is currently valued at \$1000, you have to wait and save up \$1000 before you can invest in that fund).

In the same way index funds were created to solve a problem, so were ETFs.